

the return of his overall equity portfolio. Nikhil told Mr Talwar that he could expect a return of more than 20 per cent per annum from his small-cap portfolio (whilst the Nifty tracker and the CCP are expected to deliver 15 per cent and 20 per cent per annum respectively).

Like in the case of the large-cap basket, here too Nikhil offered two buckets—mutual funds (through the ‘Direct Scheme’ route) and the ‘Good and Clean’ investing approach for small-midcaps.

Unlike large-cap mutual funds which have lost the edge they enjoyed over indices, small-cap mutual funds continue to outperform their benchmark, the BSE Small-Cap Index. The reasons for this outperformance were detailed in [Chapter 5](#). To summarize, there is still considerable information asymmetry in small-cap stocks as these companies are neither well-researched by brokerages nor are they in the media limelight. As a result, fund houses can benefit from their large research teams pouring through reams of data (annual reports, management conference call transcripts, newspaper clippings, etc.). Remember there are around 5000 stocks listed in India and 4500 of these are small-caps! So, almost by definition, there are a number of hidden gems waiting to be discovered in this ocean of stocks.

To Nikhil, it was obvious that investments in good mutual funds should be via the ‘Direct Scheme’ route. Nikhil and his firm had seen the writing on the wall two years ago and had built their business model around getting paid by investors like Mr Talwar for ‘advice’ rather than being paid by mutual fund houses (for ‘distributing’ funds). Nikhil told Mr Talwar that he would charge him 1 per cent of his portfolio as an advisory fee every year. At Rs 6 lakh annually (on a Rs 5.9 crore portfolio), Mr Talwar found this to be reasonable, considering that Nikhil’s interests were totally aligned with Mr Talwar. (In contrast, had Nikhil been paid by the mutual fund houses through ‘distribution fees’, his incentives would drive him to sell the most expensive funds to Mr Talwar irrespective of whether that was good or not for Mr Talwar’s financial health.)

Direct schemes have triggered a revolution. From almost zero in 2012, direct schemes now (in July 2017) command close to 40 per cent of the mutual fund industry’s assets under management. At this rate, it is but